

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 910

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO STATE LANDS; AMENDING TITLE 58, IDAHO CODE, BY THE ADDITION OF A
NEW CHAPTER 16, TITLE 58, IDAHO CODE, TO ESTABLISH PROVISIONS FOR DEVELOPING
MANAGED RECREATION OPPORTUNITIES ON ENDOWMENT LAND; AND DECLARING AN
EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Title 58, Idaho Code, be, and the same is hereby amended by the
addition thereto of a NEW CHAPTER, to be known and designated as Chapter 16,
Title 58, Idaho Code, and to read as follows:

CHAPTER 16

MANAGED RECREATION OPPORTUNITIES ON ENDOWMENT LAND

58-1601. LEGISLATIVE FINDINGS AND INTENT. (1) The legislature finds that:

(a) Upon statehood, Idaho was endowed with certain land to be held and used
exclusively for the purposes provided by the admission act, in such a manner as
the legislature of the state may provide, thereby creating a "sacred-trust" between
the general government, as trustor, the state, as trustee, and the various beneficiaries;

(b) Such lands became known as endowment lands and are actively managed by
the Idaho department of lands, under the direction of the board of land
commissioners, in accordance with its constitutional mandate to "secure the
maximum long term financial return to the institution to which granted", of which
there are nine (9), the most prominent being public schools;

(c) To generate revenue, endowment lands are leased for various purposes,
such as timber harvests, grazing, and commercial uses, and are generally open to
the public, free of charge, provided such public access does not interfere with
the execution of a valid, existing lease, or is not otherwise incompatible with
the trust purposes of the endowment land;

(d) Idaho law requires that all state-owned lands classified as chiefly valuable
for forestry, reforestation, recreation, and watershed protection be set aside as
state forests, thereby ensuring that endowment lands classified as such, while
they may be reclassified from time to time, provide future beneficiaries with
suitable revenue-generating land while also ensuring ecologically sensitive areas
and rural communities with single-source watersheds are protected;

(e) The Idaho park and recreation board and the Idaho department of parks
and recreation successfully manage state parks, trails, and other attractions
throughout every region of Idaho, giving them the ability, expertise, and
experience necessary to design, construct, operate,

maintain, and administer public recreation infrastructure and activities within and across Idaho;

(f) In 1989, the Idaho legislature recognized "that in order to obtain the maximum long-term benefits to the people of Idaho, it is necessary for lands of outstanding park and recreation potential to be acquired and incorporated into the state park system in the most economical manner possible.";

(g) The department of parks and recreation, under the direction of the park board, is statutorily charged with acquiring or leasing areas of scenic beauty, recreational utility, or historic, archaeological, or scientific interest to ensure that the health, happiness, availability of recreational opportunities, and overall wholesome enjoyment of life by the people will be furthered; and

(h) Both boards and departments are uniquely positioned to collaboratively fulfill the land board's constitutional mandate, meet statutory requirements, and promote the park board's duties all while ensuring future generations of beneficiaries and citizens have access to endowment lands, the outdoors, and a healthy environment.

(2) Therefore, it is the intent of the legislature to:

(a) Maximize the long-term benefit to the endowment beneficiaries by providing a variety of long-term, consistent revenue sources;

(b) Protect traditional uses of endowment land and valid, existing rights;

(c) Conserve existing public access to lands historically open to the public; and

(d) Preserve, establish, and promote outdoor recreation and education opportunities.

58-1602. DEFINITIONS. As used in this chapter:

(1) "Endowment land" means any and all land granted or acquired pursuant to sections 4 through 14 of the Idaho admission act, including in-lieu and indemnity lands and such other lands as may have been acquired by the state through the exchange of such lands or the sale of such lands and purchase of additional lands, and such other lands that may have been acquired by the state board of land commissioners through gift, grant, or donation pursuant to section 58-133(1), Idaho Code.

(2) "IDL fee" means the fee set by and paid to the Idaho department of lands for each managed recreation opportunity.

(3) "IDPR fee" means the fee that may be set by the Idaho department of parks and recreation for a managed recreation opportunity.

(4) "Managed recreation opportunity" means a specific, defined site or area of endowment land that is developed and operated for fee-based recreation opportunities, including the associated infrastructure. A managed recreation opportunity may include providing, promoting, and expanding outdoor education and research opportunities, similar to the McCall outdoor science school. A managed recreation opportunity may also include but is not limited to:

(a) Camp, tent, recreational vehicle, yurt, park-and-ski, and picnic sites;

(b) Bike, equestrian, off-highway vehicle, and snowmobile parks; and

(c) Development of the land for hiking, backpacking, fishing, hunting, and other such recreational uses as may be desired by the departments.

(5) "Managed recreation plan" or "plan" means a site-specific development and management plan containing site-specific terms for a managed recreation opportunity.

(6) "Recreation advisor" means the designated representative from the department of lands or the designated representative from the department and parks and recreation who serves as that department's primary point of contact for managed recreation opportunities established pursuant to this chapter.

58-1603. MANAGED RECREATION OPPORTUNITIES. (1) A managed recreation opportunity shall be approved by the board of land commissioners and the park and recreation board prior to its implementation.

(2) A managed recreation opportunity shall not terminate, effectively terminate, or interfere with, harm, or impede any bona fide right or valid, existing right that precedes the use of the land for a managed recreation opportunity without written consent of the affected right-holder.

(3) For the purposes of this chapter only, any lease or other land use agreement executed for a managed recreation opportunity shall not be considered a disposal of endowment land subject to requirements regarding conflict auctions.

58-1604. DUTIES OF THE DEPARTMENTS. (1) The director of the department of lands and the director of the department of parks and recreation, and the boards, departments, and recreation advisors associated therewith, shall collaboratively work together to execute the provisions of this chapter.

(2) The department of lands and the department of parks and recreation shall:

(a) Mutually identify endowment lands that can be developed to offer managed recreation opportunities to generate revenue, protect endowment land assets, and promote public recreational values;

(b) Appoint a recreation advisor; and

(c) To the maximum extent possible, facilitate multiple simultaneous leases or uses on endowment lands to maximize revenue, including working with existing lessees or right-holders, if any, to ensure that a managed recreation opportunity does not substantially interfere with, harm, or impede any bona fide right or valid, existing right.

(3) The department of lands shall:

(a) Compile, keep, periodically update, and make available to the department of parks and recreation an inventory of endowment lands from which the departments may identify and select mutually agreeable lands for managed recreation opportunities;

(b) Provide technical assistance on the development, design, construction, implementation, maintenance, and management of the managed recreation opportunity; and

(c) Provide guidance for each managed recreation opportunity to assist, coordinate, and consult with the department of parks and recreation.

(4) The department of parks and recreation shall:

- 1 (a) Design, manage, maintain, operate, and administer all managed
- 2 recreation opportunities on endowment lands;
- 3 (b) Prepare, solicit, contract, and procure goods and services nec-
- 4 essary to construct, develop, maintain, operate, and manage managed
- 5 recreation opportunities; and
- 6 (c) Incorporate all managed recreation opportunities into its regular
- 7 operations and management, including use of its reservation system and
- 8 concessionaires or vendors.

9 58-1605. MANAGED RECREATION PLAN. (1) The departments shall develop a
 10 managed recreation plan after identifying endowment land suitable for a man-
 11 aged recreation opportunity.

12 (2) The management plan shall include, at a minimum:

- 13 (a) An explanation of the recreation opportunity sought to be developed
- 14 and the need for it in the community;
- 15 (b) The projected monetary benefit to the beneficiary and impact to ex-
- 16 isting users of the land, if any; and
- 17 (c) Site-specific terms for the managed recreation opportunity that
- 18 may include provisions governing use, construction, maintenance, oper-
- 19 ation, marketing, funding, revenue distribution, and other such terms
- 20 as the boards may deem necessary for the respective managed recreation
- 21 opportunity.

22 (3) Once a managed recreation plan is completed, the departments shall
 23 present the plan to their respective board for review and approval. The plan
 24 shall be approved by:

25 (a) The board of land commissioners if it finds that:

- 26 (i) The IDL fee associated with the managed recreation oppor-
- 27 tunity is reasonably likely to compensate the beneficiary in an
- 28 amount equal to the fair market value for a similar recreation op-
- 29 portunity on the specific area of endowment land sought to be used
- 30 for the managed recreation opportunity; and
- 31 (ii) The managed recreation opportunity will not actually and
- 32 substantially interfere with, harm, or impede any bona fide right
- 33 or valid, existing right that precedes the use of the land for a
- 34 managed recreation opportunity, unless written consent of the af-
- 35 fected right-holder is obtained and presented to the board; and

36 (b) The park and recreation board if it finds that:

- 37 (i) The managed recreation opportunity aligns with its strategic
- 38 plan and that it will preserve, protect, or promote the overall en-
- 39 joyment of life for the people through outdoor recreation and re-
- 40 source stewardship; and
- 41 (ii) The managed recreation opportunity will not actually and
- 42 substantially interfere with, harm, or impede any bona fide right
- 43 or valid, existing right that precedes the use of the land for a
- 44 managed recreation opportunity, unless written consent of the af-
- 45 fected right-holder is obtained and presented to the board.

46 (4) Upon the approval of the plan by both boards, the departments shall
 47 implement the plan and take the necessary actions to open the managed recre-
 48 ation opportunity to the public as soon as is practicable.

1 (5) The directors of the departments may use any power and duty granted
2 to them pursuant to Idaho law to develop a managed recreation opportunity or
3 associated plan or to otherwise effectuate the provisions of this chapter.

4 58-1606. REVENUE GENERATION AND DISTRIBUTION. (1) For each managed
5 recreation opportunity, the department of lands shall set an IDL fee.

6 (a) The IDL fee shall be based on the fair market value for a similar
7 recreation opportunity on the specific area of endowment land sought to
8 be used for the managed recreation opportunity.

9 (b) When setting the fee, the department of lands shall consider mul-
10 tiple fair market factors, including local and regional recreation mar-
11 ket conditions and consistency with fiduciary obligations to endowment
12 beneficiaries and with the provisions of this chapter.

13 (c) The IDL fee may be periodically reviewed and adjusted as the board
14 of land commissioners may see fit but no more frequently than on an an-
15 nual basis. Prior to adjusting the IDL fee, the land board shall consult
16 with the park and recreation board and shall attempt to adjust the fee to
17 a mutually agreeable amount but does not need the park board's consent
18 prior to adjusting the IDL fee.

19 (2) The department of parks and recreation shall remit all IDL fees to
20 the department of lands at the end of each fiscal year for deposit into the
21 earnings reserve fund of the respective endowment beneficiary for which the
22 land was used for a managed recreation opportunity.

23 (3) The department of parks and recreation may charge an IDPR fee.

24 (a) The IDPR fee shall be determined according to the fee schedule ap-
25 proved by the park and recreation board.

26 (b) IDPR fees shall be deposited into the park and recreation fund es-
27 tablished in section 67-4225, Idaho Code, and used solely by the depart-
28 ment of parks and recreation for managed recreation opportunities.

29 (4) The department of parks and recreation may utilize funds, as appli-
30 cable, provided pursuant to:

31 (a) Section 67-7126(4), Idaho Code, for off-highway vehicle opportuni-
32 ties and related facilities and management; and

33 (b) Section 67-7106(1)(c), Idaho Code, for snowmobile opportunities
34 and related facilities and management.

35 (5) Any proceeds from the operation of a managed recreation opportunity
36 shall be deposited into the park and recreation fund to be used by the direc-
37 tor of the department of parks and recreation, subject to legislative appro-
38 priation, solely for the purposes provided for by this chapter, along with
39 such other moneys as may be provided by legislative appropriation to further
40 effectuate the purposes of this chapter.

41 (a) IDL fees shall not be considered proceeds.

42 (b) Up to fifteen percent (15%) of the proceeds may be used for admin-
43 istrative costs related to managed recreation opportunities, includ-
44 ing providing compensation to the departments' recreation advisors for
45 their work effectuating the provisions of this chapter.

46 (c) The remaining proceeds may be used by the department of parks and
47 recreation to cover the costs of developing, designing, constructing,
48 implementing, maintaining, managing, and operating managed recreation

opportunities, acquiring managed recreation opportunities, and otherwise implementing the provisions of this chapter.

(d) Such proceeds shall not be used toward:

(i) Expenses incurred to manage endowment lands for purposes or uses other than a managed recreation opportunity; or

(ii) Expenses incurred to manage lands under the direction or control of the department of parks and recreation for purposes or uses other than a managed recreation opportunity.

(6) Any proceeds from managed recreation opportunities over five hundred thousand dollars (\$500,000) that remain unencumbered in the fund at the end of each fiscal year shall be transferred by the state treasurer to the departments as follows:

(a) Fifty percent (50%), along with any interest collected on such moneys, shall be deposited into the park and recreation fund established in section 67-4225, Idaho Code; and

(b) Fifty percent (50%), along with any interest collected on such moneys, shall be deposited in the earnings reserve fund of the respective endowment beneficiary for which the land was used for a managed recreation opportunity.

58-1607. REPORTING BY THE DEPARTMENTS. (1) No later than June 30 of each year, beginning in 2027, the directors of the department of lands and department of parks and recreation shall jointly prepare and submit to the governor and the legislature an annual report concerning endowment lands used for managed recreation opportunities and the departments' performance administering such lands, the managed recreation opportunities associated with such lands, and the provisions of this chapter.

(2) The departments' annual report shall, at a minimum:

(a) Provide a detailed accounting of all active endowment land leases that are categorized for recreation purposes, including the total acreage under such lease, the lease terms, and the revenue generated thereunder;

(b) Provide the inventory of endowment lands required to be kept by this chapter and an overview of potential future managed recreation opportunities, including total acreage, recreation opportunity, and potential revenue;

(c) Provide a detailed accounting of each active managed recreation opportunity that includes:

(i) The total proceeds generated at that managed recreation opportunity;

(ii) The associated IDL fee amount and the total distribution, or anticipated distribution, to the endowment beneficiaries; and

(iii) The total expenditures related to that managed recreation opportunity;

(d) Provide an overview of the total proceeds generated by all managed recreation opportunities throughout the state, including the anticipated distributions to the departments pursuant to section 58-1606(5), Idaho Code;

1 (e) Provide comprehensive operational details for both departments for
2 the preceding fiscal year, including budgetary expenditures, staffing,
3 and progress toward mutually planned strategic milestones; and

4 (f) Be made publicly available on the respective departments' official
5 websites.

6 (3) The department of lands may request for its accounting purposes, no
7 more frequently than once per fiscal quarter, and the department of parks and
8 recreation shall provide, within ten (10) business days of receiving such
9 request in writing, an accurate report containing the information required
10 by subsection (2) (c) and (d) of this section.

11 58-1608. APPLICABILITY. Nothing in this chapter shall be construed to
12 require, permit, or approve the transfer of endowment land from the depart-
13 ment of lands to the department of parks and recreation or to otherwise di-
14 vest the state board of land commissioners of title to or management author-
15 ity over endowment lands, regardless of the endowment land's use as a man-
16 aged recreation opportunity. Endowment land may be disposed of or otherwise
17 transferred to the department of parks and recreation only pursuant to a sale
18 or exchange made in accordance with applicable law.

19 SECTION 2. An emergency existing therefor, which emergency is hereby
20 declared to exist, this act shall be in full force and effect on and after
21 July 1, 2026.